

Cycle wave V is not a diagonal triangle, but connecting either the orthodox or outermost tops of waves ① and ③ (as also depicted in Figure 2-6) produces an overall wedge shape that is sometimes characteristic of fifth waves and may prove to contain subwave ⑤. The higher of these lines, by the way, is exactly parallel to one (not shown) that can be drawn from the low of wave (a) of ② to the low of wave ④. This outcome is of interest because the 1978 low, which was never broken on a closing basis, was originally marked in *Elliott Wave Principle* as the low of wave ②. The dashed lines in Figure 2-6 are discussed after the next section.

CYCLE WAVE V FROM 1982

The *Elliott Wave Theorist* identified the end of a sixteen year long corrective pattern in August 1982 and indicated that wave IV may have finished its pattern then rather than in 1974 (for a full presentation, see Appendix A of *Elliott Wave Principle*). This interpretation remains equally valid with that represented in Figures 2-4 through 2-6. It is therefore comforting that the two interpretations provide essentially compatible messages.

Figure 2-7 shows how Cycle wave IV labeled as ending in 1982 fits into the Supercycle. The primary difference from the standpoint of current analysis is that the resulting upper parallel channel line is *lower* than the one in Figure 2-5. The implications of the various trendlines are covered in the next section.

Figure 2-8 displays the details of Cycle wave V and shows that it has acceptably fulfilled the guidelines for wave form. Wave ④ holds above wave ①. One of the impulse waves (wave ⑤) is an extension. There is alternation between waves ② and ④. As *Elliott Wave Principle* also states, "the usual limitation of any bear market is the travel area of the preceding fourth wave of one lesser degree." The closing low of wave ④ matched to the dollar the 1986 low of wave (4) of ③, as indicated by the dashed line.

Though wave V from 1982 is not contained within a parallel trend channel, subwave ⑤ may remain inside its own parallel channel, drawn in Figure 2-8, if it peaks soon. This channel and the labeling of wave ⑤ pertain whether Cycle wave IV bottomed in 1974 or 1982. Note that the lower line containing wave ⑤ is an extension of the support line drawn in Figure 2-6.